Legal Protection of Digital Property

Lecture 4

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1. Importing or Exporting Infringing Copy: s.30

- importing into or exporting from HK, otherwise than for private and domestic use, a copy of the work which is, and which he knows or has reason to believe to be, an infringing copy of the work

NB. Defence of "no knowledge" for parallel imports: s.36 (applies to s.31 as well - see below).

E1: X is the copyright owner of a book and has sold the book in US and HK at different retail prices. Y has bought 1,000 copies of the book in US and sold them in HK at a cheaper price than their HK retail price. Any infringement?

E2: As in E1. But X has appointed W to be the exclusive supplier of the book in HK.

2. Dealing with Infringing Copy: s.31

- possessing for the purpose of or in the course of any trade or business;

  NB. "Possession" requires physical possession or in control of the property.

- selling, letting for hire, offering or exposing for sale or hire;

  NB. Items on display ≠ offer for sale! It is exposing for sale or exhibiting in public.

- exhibiting in public or distributing for the purpose of or in the course of any trade or business;

- distributing (**otherwise than** for the purpose of or in the course of any trade or business) to such an extent as to **affect prejudicially** the copyright owner;

a copy of a work which is, and which he knows or has reason to believe to be, an infringing copy of the work

NB. Factors in determining "prejudicial" distribution: s.31(3).

NB. "Business" includes a profession and non-profit making business: CO, s.198.

NB. "Distribution of copies" includes 1st and subsequent distributions. This is different from "issue of copies".

3. Providing Means for Making Infringing Copies:

- **s.32(1):**
  - making;
  - importing or exporting;
  - possessing for the purpose of or in the course of any trade or business;
  - selling, letting for hire, offering or exposing for sale or hire;

an article **specifically designed or adapted for making copies of the work in question**, knowing or having reason to believe that it is to be used to make infringing copies

NB. Implies the "article" has involved some special processing.

NB. Secondary infringements may incur criminal liabilities in addition to civil.

- **s.32(2):**
  - transmitting a work by means of a telecommunications system **(otherwise than by communicating to the public)**, knowing or having reason to believe that infringing copies will be made by means of the reception of the transmission anywhere in the world

NB. Applies to 1-to-1 communications. Civil liabilities only.

E1: X is the owner of a computer shop. He displays in his store copies of a CD which contains several dozen popular software with a price tag of $200. Any infringement?

E2: As in E1. Y is the manufacturer of those copies and Z is the manufacturer of the machine used by Y to make those copies.

Civil Remedies: s.107

- damages
- account of profits
- injunction
- delivery up

NB. Plaintiff can ask for damages or account of profits, but not both.

Criminal Sanctions

- secondary infringements may also constitute criminal offences under s.118

NB. Note the differences in wording between s.31 and ss.118(1)(d)-(g)!

NB. For the purposes of this course, you may skip ss.118(2E)-(2J), (9).

NB. Offence under s.118(8B): communicating a work to the public in the course of trade that consists of communicating works for profits, or otherwise to such an extent as to affect prejudicially the copyright owner.

- extra-territorial copyright offences:
  - making outside HK for export to HK, otherwise than for his private and domestic use, any copy which he knows would be infringing if made in HK: s.120(1)

- making outside HK an article specifically designed or adapted for making infringing copies of a particular work, knowing or having reasons to believe that it is or intended to be used in HK for making an infringing copy of the work for sale or hire or for use for the purpose of or in the course of any trade or business: s.120(2)

NB. Sections 30-32 are the basis for civil actions, ss.118 and 120 are for criminal prosecutions.

Exceptions to Infringement of Software Copyright

- fair dealing
  - for research or private study: s.38

    NB. Restriction on making multiple copies: s.38(2)(b).

  - for criticism, review or quotation
    - » of a work that has been released or communicated to the public: AND
    - » with sufficient acknowledgement: ss.39(1), (2)

– for reporting or commenting on current events, with sufficient acknowledgement: s.39(3)

NB. No acknowledgement needed if not reasonably practical to do so: s.39(6).

– for parody, satire, caricature or pastiche: s.39A

– fair dealing by a teacher or pupil for purposes of giving or receiving instruction in a specified course of study provided by an educational establishment: s.41A(1)

NB. Includes placing a work on school's Intranet with restricted access for purposes of giving or receiving instruction in a specified course of study and not storing them in the network for longer than necessary (max 12 months): s.41A(5).

NB. No definition for "fair dealing", but factors to consider include ("the 4 Factors"):

1. **purpose and nature of the dealing;**
2. **nature of the plaintiff's work;**
3. **amount and substantiality of the portion dealt with in relation to the plaintiff's work as a whole;**
4. **effect of the dealing on the potential market for or value of the plaintiff's work: ss.38(3), 39(4), 39A(2), 41A(2)**

NB. Apart from the 4 Factors, all circumstances must be considered (eg. were improper or illegal acts involved?). Primary consideration is that the act does not conflict with a normal exploitation of the work and does not unreasonably prejudice the legitimate interests of the copyright owner: s.37(3).

NB. Essentially a matter of degree and impression: *Hubbard v Vosper* [1972] 2 QB 84.

E1: X places in a newsgroup a program taken from a textbook written by a CS professor and makes fun of its programming style. Is there a cause for action? Is there a defence?

E2: Y changes a picture of his political opponent, Z, who appeared asleep on a couch, into a picture of Z lying inside a coffin. Y then uploads the latter to the Internet under the title "Brain Dead".

- other permitted acts
  - special exemptions for lawful users of computer programs: ss.60, 61
  - Internet browsing: s.65
  - for educational purposes: ss.41-45
  - for public administration (eg. judicial or legislative council proceedings): ss.54, 54A (fair dealing), 54B, 55-59
  - temporary reproduction (eg. caching) by service providers: s.65A
  - media shifting of sound recordings for private and domestic use: s.76A

Copyright on the Internet

- illegal file sharing
  - placing other people's work on the Internet
  - copying other people's work from Internet

Q: Any infringements?

NB. CO, ss.23, 28A impose civil liabilities; s.118(8B) criminal sanctions. But note exemption under s.65 for Internet browsing.

Hyperlinking

- hyperlink is essentially the URL (ie. IP address) of the target webpage
- IP address is not copyrightable
- hyperlinking generally cannot amount to copyright infringement

Would a link ever amount to infringement?

- one consideration is whether a link amounts to authorising others to make infringing copies

- 2 scenarios:
  - link points to a lawful copy
    - » there is an implied licence for linking and caching: cf. LC Paper October 2011 **(*RR)**

- link points to an infringing copy
  - » no implied licence if the link points to an infringing copy
  - » whether there is authorisation depends on the *Moorhouse* test

E1: X's webpage contains two buttons. If clicked, the 1st button will play the latest hit song for one minute, and 2nd button the latest movie. The two buttons are hyperlinks to two sites hosting the song clip and the movie clip respectively.

Recommended Reading

- LC Paper October 2011